

Row 1: Financial Statement Analysis & Ratio Analysis (Chapter 3)

Scenario

You are a credit analyst at a bank reviewing a loan application from a mid-sized manufacturing firm, "ProTech Industries." The industry is cyclical and currently in a downturn. ProTech's financial statements (Year 3) show:

Item	Year 3	Year 2	Year 1
Cash	\$15M	\$20M	\$25M
Accounts Receivable	\$80M	\$60M	\$55M
Inventory	\$120M	\$85M	\$70M
Net Fixed Assets	\$300M	\$220M	\$200M
Total Assets	\$515M	\$385M	\$350M
Accounts Payable	\$50M	\$45M	\$40M
Short-term Debt	\$30M	\$20M	\$10M
Long-term Debt	\$180M	\$100M	\$80M
Equity	\$255M	\$220M	\$220M
Sales	\$400M	\$370M	\$350M
COGS	\$280M	\$245M	\$225M
Operating Expenses (incl. depreciation \$15M)	\$85M	\$80M	\$75M
Interest Expense	\$12M	\$7M	\$6M

Notes:

- ProTech leases a significant portion of its production equipment under operating leases. The present value of future minimum lease payments is \$60M (not capitalized).
- Industry norms: Current ratio 2.0, Quick ratio 1.0, Days sales outstanding (DSO) 45 days, Inventory turnover 4.0, Debt ratio 45%, Times interest earned 5.0, Gross profit margin 28%.

Questions

(a) Compute and interpret the current ratio, quick ratio, DSO, inventory turnover, debt ratio, times interest earned, and gross profit margin for ProTech for Year 3 only. Identify any red flags that would concern you as a lender.

(b) Adjust the debt ratio to reflect the operating leases as if they were capitalized (assume a 5-year life, straight-line depreciation, and an incremental borrowing rate of 8%). Recalculate the debt ratio after this adjustment and discuss how it changes your perception of ProTech's leverage.

(c) The loan officer's assistant suggests that ProTech's aggressive inventory buildup is justified because sales have grown 14% over two years. Explain why this might be an overly optimistic view given the downturn and the firm's cash position. What three specific questions would you ask the CFO to uncover hidden liquidity risks?